

8-5 Comparing Direct Write-Off and Allowance Methods

Journal entries for the direct write-off and allowance methods are illustrated and compared in this section. As a basis for illustration, the following transactions, taken from the records of Hobbs Company for the year ending December 31, 20Y6, are used:

Objective 5 - Compare the direct write-off and allowance methods of accounting for uncollectible accounts.

- Mar. 1. Wrote off account of C. York, \$3,650.
- Apr. 12. Received \$2,250 as partial payment on the \$5,500 account of Cary Bradshaw. Wrote off the remaining balance as uncollectible.
- June 22. Received the \$3,650 from C. York, which had been written off on March 1. Reinstated the account and recorded the cash receipt.
- Sept. 7. Wrote off the following accounts as uncollectible (record as one journal entry):

Jason Bigg	\$1,100
Steve Bradey	2,220
Samantha Neeley	775
Stanford Noonan	1,360
Aiden Wyman	990

- Dec. 31. Hobbs Company uses the percent of credit sales method of estimating uncollectible expenses. Based on past history and industry averages, 1.25% of credit sales are expected to be uncollectible. Hobbs recorded \$3,400,000 of credit sales during the year.

Exhibit 4 illustrates the journal entries for Hobbs using the direct write-off and allowance methods. Using the direct write-off method, there is no adjusting entry on December 31 for uncollectible accounts. In contrast, the allowance method records an adjusting entry for estimated uncollectible accounts of \$42,500.

Comparing Direct Write-Off and Allowance Methods

Direct Write-Off Method					Allowance Method				
2016									
Mar.	1	Bad Debt Expense	3,650		Allowance for Doubtful Accounts	3,650			
		Accounts Receivable—C. York		3,650	Accounts Receivable—C. York			3,650	
Apr.	12	Cash	2,250		Cash	2,250			
		Bad Debt Expense	3,250		Allowance for Doubtful Accounts	3,250			
		Accounts Receivable—Cary Bradshaw		5,500	Accounts Receivable—Cary Bradshaw			5,500	
June	22	Accounts Receivable—C. York	3,650		Accounts Receivable—C. York	3,650			
		Bad Debt Expense		3,650	Allowance for Doubtful Accounts			3,650	
	22	Cash	3,650		Cash	3,650			
		Accounts Receivable—C. York		3,650	Accounts Receivable—C. York			3,650	
Sept.	7	Bad Debt Expense	6,445		Allowance for Doubtful Accounts	6,445			
		Accounts Receivable—Jason Bigg	1,100		Accounts Receivable—Jason Bigg			1,100	
		Accounts Receivable—Steve Bradley	2,220		Accounts Receivable—Steve Bradley			2,220	
		Accounts Receivable—Samantha Neeley	775		Accounts Receivable—Samantha Neeley			775	
		Accounts Receivable—Stanford Noonan	1,360		Accounts Receivable—Stanford Noonan			1,360	
		Accounts Receivable—Aiden Wyman	990		Accounts Receivable—Aiden Wyman			990	
Dec.	31	No Entry			Bad Debt Expense	42,500			
					Allowance for Doubtful Accounts			42,500	
					Uncollectible accounts estimate (\$3,400,000 × 0.0125).				

The primary differences between the direct write-off and allowance methods are summarized in [Exhibit 5](#).

Exhibit 5

Direct Write-Off and Allowance Methods

	Direct Write-Off Method	Allowance Method
Bad debt expense is recorded	When the specific customer accounts are determined to be uncollectible.	Using an estimate based on: (1) a percent of sales or (2) an analysis of receivables.
Allowance account	No allowance account is used.	The allowance account is used.
Primary users	Small companies and companies with few receivables.	Large companies and those with a large amount of receivables.

